commission to an agent. And with retirement plans, you also get a tax deduction. (For details, see Chapter 6.)

The pitch: "Buying term insurance is like renting. Buying cash value insurance is like buying. When the term is up, you don't have anything to show for it. But look how much money you'll have in twenty years if you buy a cash value life insurance policy."

The reality: Life insurance companies are notorious for using extremely attractive, overly optimistic future rates of return when selling cash value policies. There's no guarantee that your returns will be as good as an agent says.

How Much Coverage Do You Need?

You need enough life insurance to provide for your dependents (spouse and kids) so that they can carry on a decent lifestyle if you die prematurely. If you have young children, that means you need to figure out how much they would need to live for at least the next fifteen to twenty years. One rough rule of thumb says you should buy a policy that will pay seven to ten times your annual before-tax income if you die, but many people need more than that—especially if they have many kids or if they're single parents. If you have high aspirations for your kids—for example, if you want to send them to expensive private schools—or if your spouse doesn't work, you will certainly need more. The calculator on personal finance firm Myvesta's site (www.myvesta.org/calculators/LifeInsurance.html) will help you crunch all the numbers.

If Your Employer Offers Life Insurance

Many large employers provide some life insurance for employees. Your company might pay for a term policy with a death benefit of $50,000—more than enough if you're single and have no dependents. If you need more, you might be better off buying directly from an insurance company rather than through your employer. Policies you get through work may be hard (or at least expensive) to convert if you switch jobs. Plus, some employers charge all employees the same rate on life insurance, regardless of age. If that's the case with your employer, you would be paying the same premium as a 45-year-old, for example, which would be much higher than